which you can buy or sell a share in the fund—is called the **net asset value (NAV)**.

There are several ways to invest in a mutual fund. The simplest is to buy it directly from a **mutual fund company** (a company that sells—you guessed it—mutual funds). Both traditional and Internet **brokerage firms**, which tend to specialize in trading individual stocks and bonds, offer mutual funds as well. So do financial planners, banks, and insurance agents. Your best bet is to go with a low-cost mutual fund company. I'll explain why in this chapter, and I'll offer recommendations about specific mutual fund companies.

Two Pointers for New Investors

Before I get into the details of the various types of mutual funds, I'd like to take a minute to acknowledge the sad truths of investment life. Though these points may seem obvious, they're often lost on investors who should know better.

- **There's no easy way to pick a winner.** The fact that a given stock did well last year, for example, provides little or no information about how well it will do in future years. More generally, there's no proven investment strategy that will always beat the others. If people tell you otherwise, don't believe them—including the analyst from a major brokerage firm who appears on CNBC, the distinguished economist who is quoted regularly in the newspaper, or your favorite uncle on your mother's side who had the foresight to buy stock in Microsoft in the 1980s.
- **In general, you don't get something for nothing.** With rare exceptions, the only way to get an unusually high rate of return on your investments is to accept an unusually high level of risk. So if anyone promises you a very high return with "no risk," be skeptical.

MONEY MARKET FUNDS